

The Two-Minute Drill

Already you've found out whether you're dealing with a slow grower, a stalwart, a fast grower, a turnaround, an asset play, or a cyclical. The p/e ratio has given you a rough idea of whether the stock, as currently priced, is undervalued or overvalued relative to its immediate prospects. The next step is to learn as much as possible about what the company is doing to bring about the added prosperity, the growth spurt, or whatever happy event is expected to occur. This is known as the "story."

With the possible exception of the asset play (where you can sit back and wait for the value of the real estate or the oil reserves or the TV stations to be recognized by others), something dynamic has to happen to keep the earnings moving along. The more certain you are about what that something is, the better you'll be able to follow the script.

The analyst's reports on the company you get from your broker, and the short essays in the *Value Line* give you the professional version of the story, but if you've got an edge in the company or in the industry, you'll be able to develop your own script in useful detail.

Before buying a stock, I like to be able to give a two-minute monologue that covers the reasons I'm interested in it, what has to happen for the company to succeed, and the pitfalls that stand in its path. The two-minute monologue can be muttered under your breath or repeated out loud to colleagues who happen to be standing within earshot. Once you're able to tell the story of a stock to your family, your friends, or the dog (and I don't mean "a guy on the bus says Caesars World is a takeover"), and so that even a child could understand it, then you have a proper grasp of the situation.

Here are some of the topics that might be addressed in the monologue:

If it's a slow-growing company you're thinking about, then presumably you're in it for the dividend, (Why else own this kind of stock?) Therefore, the important elements of the script would be: "This company has increased earnings every year for the last ten, it offers an attractive yield; it's never reduced or suspended a dividend, and in fact it's raised the dividend during good times and bad, including the last three recessions. It's a telephone utility, and the new cellular operations may add a substantial kicker to the growth rate."

If it's a cyclical company you're thinking about, then your script revolves